

AI Use Case Risk Scorecard

Use Case Title: [Insert Title of AI Project/Use Case]

Department/Team: [Insert Department Name]

Date: [Insert Date]

Overall Risk Level: (Circle One) Low / Medium / High

Instructions: Rate each risk factor from **1 (Low Risk)** to **5 (High Risk)**. Total the scores to determine the overall risk level.

1. Data & Privacy Risks

Factor	Description	Score (1-5)
Data Sensitivity	How sensitive is the data used (e.g., personally identifiable information, financial data, health records)?	
Data Source & Consent	Is the data legally sourced, and is there clear consent for its use?	
Data Volume & Storage	The volume of data and the security of its storage and transit.	
Bias & Fairness	Is the training data free from biases that could lead to discriminatory outcomes?	
Transparency	How easily can the data sources and collection methods be explained?	
Subtotal		

Disclaimer: This template/sample is for general informational purposes only and does **not** constitute legal advice. Companies should carefully review and tailor it to their specific circumstances, industry requirements, and applicable laws. Use of this material is at your own risk, and you are strongly encouraged to seek advice from a qualified legal professional.

2. Technical & Performance Risks

Factor	Description	Score (1-5)
Model Accuracy	What is the impact if the model makes a mistake? (e.g., minor inconvenience vs. safety risk).	
Explainability	How easy is it to understand how the model arrived at its decision?	
System Reliability	What is the impact of system downtime or failure?	
Security Vulnerabilities	Is the model or system susceptible to adversarial attacks or hacking?	
Maintenance & Monitoring	How easy is it to monitor model performance and retrain it?	
Subtotal		

3. Business & Operational Risks

Factor	Description	Score (1-5)
Decision Autonomy	Is the AI making autonomous decisions, or is there human oversight?	
Regulatory & Legal	Are there specific regulations (e.g., GDPR, industry-specific rules) that apply to this use case?	
Reputational Impact	What is the potential for public backlash or negative PR if the AI fails?	
Implementation Complexity	How complex is it to integrate this AI solution into existing workflows?	
Ethical & Social Impact	What are the potential broader ethical consequences of this AI?	
Subtotal		

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4. Total Score & Risk Interpretation

- **Total Score:** [Sum of all subtotals]
- **Risk Bands:**
 - **Low Risk (Score 15-35):** Proceed with standard review and implementation.
 - **Medium Risk (Score 36-55):** Requires detailed review by the governance committee and may need risk mitigation strategies before proceeding.
 - **High Risk (Score 56-75):** Requires a comprehensive risk assessment, formal approval, and a clear mitigation plan. The committee may recommend against implementation.

Recommendations & Next Steps

Based on the scorecard, outline the recommended next steps. This could include:

- Go/No-Go decision
- Check with the AI Usage Policy
- Setting Up Audit Processes
- Required risk mitigation actions (e.g., improve data quality, add human-in-the-loop oversight)
- Additional stakeholders to consult
- Timeline for review and implementation